Expedia

EXPE | NASDAQ | 2026-10-07

Q4 2027 model ceiling: USD 627.91

Analytical Base 42/60 = 70 | Watchlist / travel execution beneficiary

20x forward-four-quarter normalized operating profit, including SBC and D&A, after a modest modeled minority-profit reserve, divided by 123m diluted shares. No net-cash addition, no EBITDA or net-income substitution.

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

Snapshot: USD 260.07 on 2026-10-06. Model diluted shares at Q3 2026: 123.000m. Indicative diluted capitalization: USD 31,988.6m. Quote and share dates/bases may differ; legal shares are reconciled in the analysis.

All operating values are in USD m and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	3,861.7	20x	123.000	627.91

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Probabilities have already been applied to the operating forecast; they are not applied again to the valuation.

Investment conclusion

Expedia is a beneficiary of agents doing more travel work, but it is not a monopoly on travel inventory. Its strongest claim is the ability to execute a complicated booking across supply, payments, loyalty, cancellations and service. That infrastructure can earn revenue when another company owns the conversation. The risk is equally concrete: the new interface can demand a larger share of the commission or replace a profitable direct customer relationship.

The active model values normalized operating profit after stock compensation and depreciation. It combines the established consumer and B2B businesses with a modest probability-weighted increment for agents and Qantas, plus an adverse distribution-economics branch. This produces a Watchlist score of 70. The opportunity is credible; the commercial terms are not sufficiently known to call Expedia an unavoidable bottleneck.

The product, invoice and profit pool

B2C consists principally of Expedia, Hotels.com and Vrbo. Travelers can buy a single component or attach accommodation, cars, insurance and activities to a trip. Revenue is the booking commission, merchant spread or advertising/service amount recognized by Expedia; it is not the full value of the hotel room or flight. Cash collected before the stay creates a substantial merchant-booking liability.

B2B supplies other travel businesses, banks, airlines, loyalty programs and consumer platforms with inventory, booking APIs and servicing. A partner does not need to recreate a complete accommodation-contracting and post-booking operation. The resulting advantage lies in reliable execution, integrations and supply content. Much of the accounting revenue is paid onward as partner commissions in direct marketing expense. The model preserves that cost, rather than treating the high accounting gross margin as a retained profit margin.

Trivago is a small consolidated metasearch business with minority shareholders. It does not justify assigning the entire consolidated profit pool to Expedia common holders. The model includes a modest minority-profit reserve and reports the remaining attribution uncertainty. It is not a sum-of-the-parts valuation.

Why the agent opportunity is timely

Meta named Expedia as a forthcoming Muse travel connector on September 24. This is evidence of distribution access, not a launched service with disclosed bookings or revenue share. The model assigns a 35% probability to a bounded commercial ramp. In 2027, conditional referred bookings progress from $100m to $650m per quarter. A 55% haircut removes migration from existing Expedia channels before a 12% revenue conversion and explicit partner, service and technology costs. These are analytical proxies, not Meta or Expedia guidance.

Qantas announced a technology upgrade on September 30, with integration underway and launch scheduled for H1 2027. The underlying relationship is already established. The separate 80%-weighted branch therefore uses only $175m of incremental 2027 bookings and includes launch costs. Its adoption probability is higher than the speculative agent-volume case because the customer, implementation and timing are identified; contract economics remain undisclosed.

The October 1 activities-API beta is another route to sell more of a trip. General availability is planned for early 2027. The reference B2B growth already includes improved attach and product expansion, so there is no second activities-TAM overlay. That zero additional increment avoids duplicating an operating growth assumption; it does not imply the product has no value.

Engineering and economic constraints

Planning a holiday is easier than booking and supporting one. An agent needs accurate availability, room and cancellation rules, payment authorization, currency handling, loyalty treatment and a dependable way to resolve changes. Expedia's APIs and service operation perform that execution layer. Qualification takes the form of contractual onboarding, API integration, reconciliation and customer-service reliability rather than a semiconductor design win.

These barriers are useful but not exclusive. Booking Holdings, other wholesalers, supplier-direct systems and travel technology vendors can provide alternatives. Airlines and hotels may reserve better loyalty benefits or rates for their direct channels. Agents can multi-home and compare providers. The relevant scarcity is reliable integrated execution at scale, not an absence of rooms or a physical inability to add competitors.

Model costs rise with bookings and support requirements. For the agent branch, service/payment cost is 9% of incremental revenue; weighted distribution/marketing cost is 55.5%; development and support add 8%. The remaining contribution is therefore far smaller than the headline booking value. A competing downside branch tests existing B2C customers moving to interfaces that reduce retained revenue and raise fees.

Latest operating anchor

The June quarter delivered revenue of $4.315bn and GAAP operating income of $800m. B2B revenue grew faster than the consumer business, while marketing efficiency supported consumer profitability. The release's adjusted EBITDA differs from operating income because of depreciation, stock compensation, exceptional charges and hedge treatment; the model explicitly retains the first two ongoing costs.

The August outlook anchors Q3 revenue at $4.7bn and adjusted EBITDA at $1.535bn, both guidance midpoints. The full-year reference is $16.135bn revenue. Its implied Q4 consumer allocation is mildly below the prior year: this is a conservative segment assumption under the group guide, not company segment guidance. The 2027 reference assumes 8% consumer growth and 18% B2B growth, moderating afterward. The latest two calls were checked for the source of both growth and margin changes.

Management's commentary distinguishes existing ranking and recommendation benefits from newer conversational features. Current AI conversion improvements and cost actions belong in the reference; adding another blanket AI margin expansion would double count them. The new model probabilities apply only to incremental branches above that reference.

Capital, shares and cash conversion

The legal common-share count includes Class B and excludes treasury stock. July 24 outstanding common and Class B shares total approximately 120.019m; Q2 weighted diluted shares are 122.552m. The forecast uses 123m diluted shares throughout. That assumes future repurchases offset awards and provides no additional buyback accretion merely because authorization exists.

At June 30, cash was $6.682bn, restricted cash $2.402bn and short investments $445m, against $5.459bn debt. Deferred merchant bookings were $15.426bn. Advance customer collections are working-capital funding with settlement obligations, so the full cash balance is not added to the ceiling as excess cash. Acquisitions, capex and dividends also compete with repurchases. Operating profit is not free cash flow; seasonal cash collection can make an individual quarter's conversion look unusually strong.

Competition, substitution and cross-universe implications

Expedia competes with Booking, Airbnb, supplier-direct sites, offline agents and travel wholesalers. Search and generative-AI platforms are both distribution partners and potential substitutes, as the annual report makes clear. Stronger agent use benefits Shopify checkout, Instacart grocery fulfillment and Expedia travel execution through different invoices; their revenues cannot be allocated from one generic agent TAM.

Meta may gain engagement and advertising opportunities, but none of the new Expedia branch dollars is automatically a Meta revenue estimate. Compute providers and chip suppliers enable the workload, yet travel bookings do not provide a measurable incremental GPU order bridge. Existing covered-company models remain unchanged. The present work adds Expedia coverage; it does not imply an actual portfolio holding.

Score and uncertainty

Core thesis 17/20 reflects execution infrastructure and supply relationships, discounted for alternatives. Cycle 6/10 reflects resilient travel and B2B adoption without a physical capacity cycle. TAM 7/10 recognizes global travel penetration and more trip components, with no direct conversion of total travel spending into Expedia revenue. Catalysts 4/5 covers launches and reported operating milestones. Macro 7/10 reflects balanced geography but discretionary spending and geopolitical exposure. Alpha 4/5 captures an underappreciated execution layer with uncertain capture.

Three separate risk classes deduct one point each: distribution and competitive economics; travel demand/geopolitical disruption; and execution/capital allocation, including acquisitions and servicing. The sum is 42/60, or 70 after framework rounding. The classification is Beneficiary / Watchlist. A lower score here is not an instruction to omit the requested company from the research workbook.

What changes the model

Raise the agent branch probability only when a live connector, stayed bookings and retained revenue support it. Increase volume only after separating new customers from migrated direct traffic. Raise Qantas contribution when rollout and incremental attach are visible; a missed H1 2027 launch pushes recognition outward. Reduce the branch when partner commissions, support intensity or direct-channel cannibalization exceed the modeled costs.

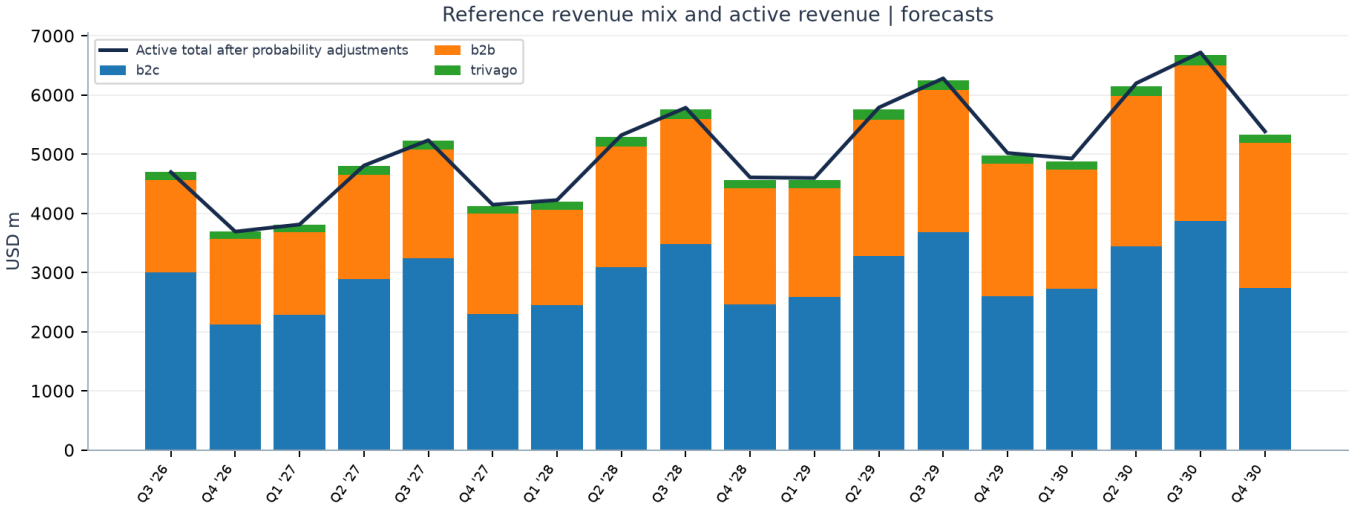
Watch group revenue against the Q3 and full-year guide, B2B partner mix, direct booking share, marketing efficiency, debt and diluted shares. A decline in revenue per stayed booking without a matching acquisition-cost saving is a stronger negative signal than rapid growth in agent referrals. The outer 2029-30 quarters are explicitly low-visibility extensions and should be replaced by new evidence as it arrives.

All incremental booking inputs are stayed or recognized gross-booking equivalents in the quarter of revenue recognition, rather than reservation-date bookings. The model therefore does not recognize unstayed reservations immediately. Agent-channel probability falls from 35% through 2028 to 25% from 2029; Qantas falls from 80% to 60%. These outer-year fades reflect lower confidence in continued incremental gains. The 2027-30 reference growth rates are ASTRA assumptions, not management guidance.

Score arithmetic

Category	Points	Evidence / treatment
Core thesis	17	See the scoring evidence and distinct risk classes in the analysis.
Cycle	6	See the scoring evidence and distinct risk classes in the analysis.
TAM	7	See the scoring evidence and distinct risk classes in the analysis.
Catalysts	4	See the scoring evidence and distinct risk classes in the analysis.
Macro	7	See the scoring evidence and distinct risk classes in the analysis.
Alpha	4	See the scoring evidence and distinct risk classes in the analysis.
Risk classes	-3	See the scoring evidence and distinct risk classes in the analysis.
Total	42/60	Rounded Base 70. Both artifact and new workbook row use this score; this is not a manual override.

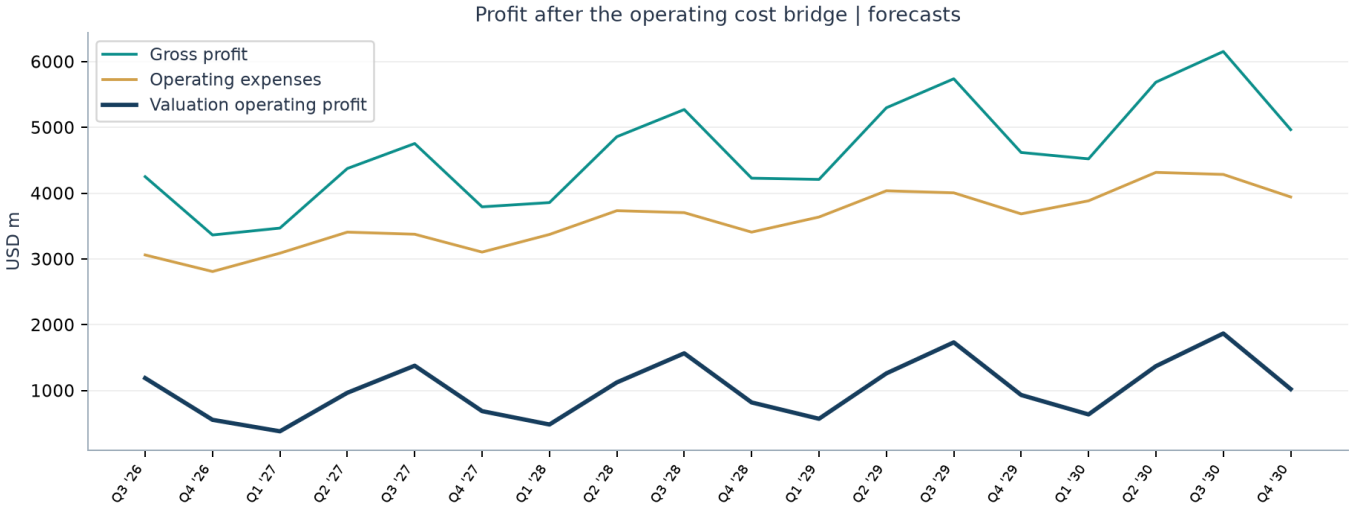
Revenue and business mix



Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	4,700.0	0.0	4,700.0
Q4 2026	3,694.0	0.9	3,694.9
Q1 2027	3,814.6	0.8	3,815.4
Q2 2027	4,805.2	5.7	4,810.9
Q3 2027	5,226.8	11.8	5,238.6
Q4 2027	4,129.8	19.8	4,149.6
Q1 2028	4,204.7	22.7	4,227.3
Q2 2028	5,297.0	27.8	5,324.8
Q3 2028	5,754.3	34.1	5,788.5
Q4 2028	4,569.2	41.6	4,610.9
Q1 2029	4,567.5	32.7	4,600.3
Q2 2029	5,754.7	35.8	5,790.5
Q3 2029	6,245.0	39.1	6,284.2
Q4 2029	4,978.6	44.1	5,022.7
Q1 2030	4,884.5	45.7	4,930.2
Q2 2030	6,154.6	46.9	6,201.5
Q3 2030	6,673.9	48.5	6,722.4
Q4 2030	5,336.1	51.9	5,387.9

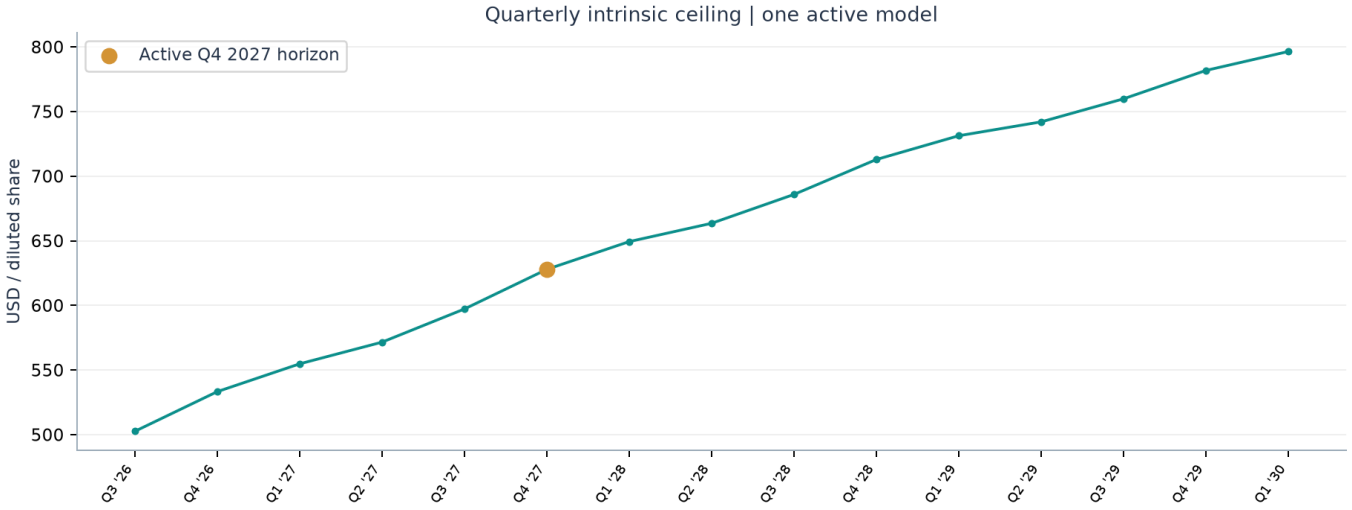
Gross profit, operating expenses and earnings



Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

Quarter	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026	4,700.0	4,251.3	3,061.3	1,189.3	25.3%
Q4 2026	3,694.9	3,365.2	2,809.6	555.0	15.0%
Q1 2027	3,815.4	3,469.9	3,088.5	380.8	10.0%
Q2 2027	4,810.9	4,375.4	3,408.5	966.1	20.1%
Q3 2027	5,238.6	4,755.2	3,376.5	1,378.0	26.3%
Q4 2027	4,149.6	3,793.0	3,105.0	687.4	16.6%
Q1 2028	4,227.3	3,857.6	3,373.0	483.9	11.4%
Q2 2028	5,324.8	4,859.1	3,734.4	1,123.9	21.1%
Q3 2028	5,788.5	5,271.9	3,704.6	1,566.5	27.1%
Q4 2028	4,610.9	4,228.6	3,408.5	819.4	17.8%
Q1 2029	4,600.3	4,209.8	3,638.0	571.0	12.4%
Q2 2029	5,790.5	5,298.9	4,036.8	1,261.2	21.8%
Q3 2029	6,284.2	5,739.4	4,005.8	1,732.7	27.6%
Q4 2029	5,022.7	4,619.1	3,685.9	932.5	18.6%
Q1 2030	4,930.2	4,522.3	3,884.6	637.0	12.9%
Q2 2030	6,201.5	5,688.3	4,316.5	1,370.9	22.1%
Q3 2030	6,722.4	6,154.1	4,285.5	1,867.8	27.8%
Q4 2030	5,387.9	4,966.5	3,943.2	1,022.5	19.0%

The complete ceiling path



Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

Quarter	Exact earnings window	F4Q OP	Multiple	Shares	Ceiling
Q3 2026	Q3 2026 + Q4 2026 + Q1 2027 + Q2 2027	3,091.2	20x	123.000	502.63
Q4 2026	Q4 2026 + Q1 2027 + Q2 2027 + Q3 2027	3,279.8	20x	123.000	533.30
Q1 2027	Q1 2027 + Q2 2027 + Q3 2027 + Q4 2027	3,412.2	20x	123.000	554.83
Q2 2027	Q2 2027 + Q3 2027 + Q4 2027 + Q1 2028	3,515.4	20x	123.000	571.60
Q3 2027	Q3 2027 + Q4 2027 + Q1 2028 + Q2 2028	3,673.1	20x	123.000	597.26
Q4 2027	Q4 2027 + Q1 2028 + Q2 2028 + Q3 2028	3,861.7	20x	123.000	627.91
Q1 2028	Q1 2028 + Q2 2028 + Q3 2028 + Q4 2028	3,993.8	20x	123.000	649.39
Q2 2028	Q2 2028 + Q3 2028 + Q4 2028 + Q1 2029	4,080.8	20x	123.000	663.55
Q3 2028	Q3 2028 + Q4 2028 + Q1 2029 + Q2 2029	4,218.2	20x	123.000	685.88
Q4 2028	Q4 2028 + Q1 2029 + Q2 2029 + Q3 2029	4,384.4	20x	123.000	712.92
Q1 2029	Q1 2029 + Q2 2029 + Q3 2029 + Q4 2029	4,497.5	20x	123.000	731.30
Q2 2029	Q2 2029 + Q3 2029 + Q4 2029 + Q1 2030	4,563.5	20x	123.000	742.04
Q3 2029	Q3 2029 + Q4 2029 + Q1 2030 + Q2 2030	4,673.2	20x	123.000	759.87
Q4 2029	Q4 2029 + Q1 2030 + Q2 2030 + Q3 2030	4,808.3	20x	123.000	781.83
Q1 2030	Q1 2030 + Q2 2030 + Q3 2030 + Q4 2030	4,898.3	20x	123.000	796.47

The operating constraint behind the forecast



The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

Quarter	Conditional referred agent bookings (USD millions)	Status
Q3 2026	0.000	Guidance-anchored model
Q4 2026	50.000	Guidance-anchored model
Q1 2027	100.000	Model assumption
Q2 2027	250.000	Model assumption
Q3 2027	400.000	Model assumption
Q4 2027	650.000	Model assumption
Q1 2028	800.000	Model assumption
Q2 2028	1,000.000	Model assumption
Q3 2028	1,250.000	Model assumption
Q4 2028	1,500.000	Model assumption
Q1 2029	1,700.000	Low-visibility extension
Q2 2029	1,900.000	Low-visibility extension
Q3 2029	2,100.000	Low-visibility extension
Q4 2029	2,300.000	Low-visibility extension
Q1 2030	2,400.000	Low-visibility extension
Q2 2030	2,500.000	Low-visibility extension
Q3 2030	2,600.000	Low-visibility extension
Q4 2030	2,700.000	Low-visibility extension

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	b2c	3,010.0	87.0%	2,618.7
Q3 2026	b2b	1,550.0	97.2%	1,506.6
Q3 2026	trivago	140.0	90.0%	126.0
Q4 2026	b2c	2,130.0	87.0%	1,853.1
Q4 2026	b2b	1,440.0	97.2%	1,399.7
Q4 2026	trivago	124.0	90.0%	111.6
Q1 2027	b2c	2,287.4	87.1%	1,993.5
Q1 2027	b2b	1,395.9	97.2%	1,357.6
Q1 2027	trivago	131.2	90.0%	118.1
Q2 2027	b2c	2,891.2	87.1%	2,519.6
Q2 2027	b2b	1,761.7	97.2%	1,713.3
Q2 2027	trivago	152.2	90.0%	137.0
Q3 2027	b2c	3,250.8	87.1%	2,833.1
Q3 2027	b2b	1,829.0	97.2%	1,778.7
Q3 2027	trivago	147.0	90.0%	132.3
Q4 2027	b2c	2,300.4	87.1%	2,004.8
Q4 2027	b2b	1,699.2	97.3%	1,652.5
Q4 2027	trivago	130.2	90.0%	117.2
Q1 2028	b2c	2,447.6	87.3%	2,136.7
Q1 2028	b2b	1,619.3	97.3%	1,575.6
Q1 2028	trivago	137.8	90.0%	124.0
Q2 2028	b2c	3,093.5	87.3%	2,700.7
Q2 2028	b2b	2,043.6	97.3%	1,988.4
Q2 2028	trivago	159.9	90.0%	143.9
Q3 2028	b2c	3,478.4	87.3%	3,036.6
Q3 2028	b2b	2,121.6	97.3%	2,064.4
Q3 2028	trivago	154.3	90.0%	138.9
Q4 2028	b2c	2,461.4	87.3%	2,148.8
Q4 2028	b2b	1,971.1	97.3%	1,917.9
Q4 2028	trivago	136.7	90.0%	123.0

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q1 2029	b2c	2,594.4	87.5%	2,268.8
Q1 2029	b2b	1,829.8	97.4%	1,781.3
Q1 2029	trivago	143.3	90.0%	129.0
Q2 2029	b2c	3,279.2	87.5%	2,867.6
Q2 2029	b2b	2,309.3	97.4%	2,248.1
Q2 2029	trivago	166.3	90.0%	149.6
Q3 2029	b2c	3,687.1	87.5%	3,224.3
Q3 2029	b2b	2,397.5	97.4%	2,333.9
Q3 2029	trivago	160.5	90.0%	144.5
Q4 2029	b2c	2,609.1	87.4%	2,281.7
Q4 2029	b2b	2,227.3	97.4%	2,168.3
Q4 2029	trivago	142.2	90.0%	128.0
Q1 2030	b2c	2,724.1	87.6%	2,386.3
Q1 2030	b2b	2,012.8	97.4%	1,960.4
Q1 2030	trivago	147.6	90.0%	132.9
Q2 2030	b2c	3,443.1	87.6%	3,016.2
Q2 2030	b2b	2,540.2	97.4%	2,474.2
Q2 2030	trivago	171.2	90.0%	154.1
Q3 2030	b2c	3,871.4	87.6%	3,391.4
Q3 2030	b2b	2,637.2	97.4%	2,568.6
Q3 2030	trivago	165.3	90.0%	148.8
Q4 2030	b2c	2,739.6	87.6%	2,399.9
Q4 2030	b2b	2,450.0	97.4%	2,386.3
Q4 2030	trivago	146.4	90.0%	131.8

Operating-cost derivation

Quarter	direct marketing	overhead	sbc	da
Q3 2026	2,098.4	617.9	115.0	230.0
Q4 2026	1,861.0	603.0	115.0	230.0
Q1 2027	2,062.6	661.5	121.9	239.2
Q2 2027	2,367.3	673.1	121.9	239.2
Q3 2027	2,353.4	651.9	121.9	239.2
Q4 2027	2,092.8	636.2	121.9	239.2
Q1 2028	2,279.2	697.9	129.2	248.8
Q2 2028	2,624.3	710.1	129.2	248.8
Q3 2028	2,612.3	687.7	129.2	248.8
Q4 2028	2,328.8	671.1	129.2	248.8
Q1 2029	2,480.7	736.2	137.0	258.7
Q2 2029	2,863.7	749.2	137.0	258.7
Q3 2029	2,853.6	725.6	137.0	258.7
Q4 2029	2,549.2	708.1	137.0	258.7
Q1 2030	2,659.1	776.7	145.2	269.1
Q2 2030	3,075.7	790.4	145.2	269.1
Q3 2030	3,067.9	765.5	145.2	269.1
Q4 2030	2,743.3	747.0	145.2	269.1

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2026	EXPE-AGENT	35%	0.0	0.0	0.0	0.0
Q3 2026	EXPE-QANTAS	80%	0.0	0.0	0.0	0.0
Q3 2026	EXPE-CHANNEL-LOSS	20%	-0.0	-0.0	0.0	-0.0
Q4 2026	EXPE-AGENT	35%	2.7	2.5	1.7	0.3
Q4 2026	EXPE-QANTAS	80%	0.0	0.0	0.0	0.0
Q4 2026	EXPE-CHANNEL-LOSS	20%	-0.0	-0.0	0.0	-0.0
Q1 2027	EXPE-AGENT	35%	5.4	4.9	3.4	0.5
Q1 2027	EXPE-QANTAS	80%	0.0	0.0	2.0	-1.6
Q1 2027	EXPE-CHANNEL-LOSS	20%	-5.5	-4.8	2.6	-1.5
Q2 2027	EXPE-AGENT	35%	13.5	12.3	8.6	1.3
Q2 2027	EXPE-QANTAS	80%	3.0	2.9	4.2	-1.0
Q2 2027	EXPE-CHANNEL-LOSS	20%	-6.9	-6.0	3.2	-1.9
Q3 2027	EXPE-AGENT	35%	21.6	19.7	13.7	2.1
Q3 2027	EXPE-QANTAS	80%	7.2	7.0	5.8	1.0
Q3 2027	EXPE-CHANNEL-LOSS	20%	-7.8	-6.8	3.6	-2.1
Q4 2027	EXPE-AGENT	35%	35.1	31.9	22.3	3.4
Q4 2027	EXPE-QANTAS	80%	10.8	10.5	8.4	1.7
Q4 2027	EXPE-CHANNEL-LOSS	20%	-5.5	-4.8	2.6	-1.5
Q1 2028	EXPE-AGENT	35%	43.2	39.3	27.4	4.2
Q1 2028	EXPE-QANTAS	80%	12.0	11.6	9.3	1.9
Q1 2028	EXPE-CHANNEL-LOSS	20%	-10.3	-9.0	4.8	-2.8
Q2 2028	EXPE-AGENT	35%	54.0	49.1	34.3	5.2
Q2 2028	EXPE-QANTAS	80%	14.4	14.0	11.0	2.4
Q2 2028	EXPE-CHANNEL-LOSS	20%	-13.0	-11.3	6.1	-3.5
Q3 2028	EXPE-AGENT	35%	67.5	61.4	42.9	6.5
Q3 2028	EXPE-QANTAS	80%	16.8	16.3	12.8	2.8
Q3 2028	EXPE-CHANNEL-LOSS	20%	-14.6	-12.8	6.8	-3.9
Q4 2028	EXPE-AGENT	35%	81.0	73.7	51.4	7.8
Q4 2028	EXPE-QANTAS	80%	19.2	18.6	14.5	3.3
Q4 2028	EXPE-CHANNEL-LOSS	20%	-10.3	-9.0	4.8	-2.8

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q1 2029	EXPE-AGENT	25%	91.8	83.5	58.3	6.3
Q1 2029	EXPE-QANTAS	60%	21.0	20.4	15.8	2.7
Q1 2029	EXPE-CHANNEL-LOSS	20%	-14.0	-12.3	6.5	-3.8
Q2 2029	EXPE-AGENT	25%	102.6	93.4	65.2	7.1
Q2 2029	EXPE-QANTAS	60%	22.8	22.1	17.1	3.0
Q2 2029	EXPE-CHANNEL-LOSS	20%	-17.7	-15.5	8.3	-4.7
Q3 2029	EXPE-AGENT	25%	113.4	103.2	72.0	7.8
Q3 2029	EXPE-QANTAS	60%	24.6	23.9	18.5	3.2
Q3 2029	EXPE-CHANNEL-LOSS	20%	-19.9	-17.4	9.3	-5.3
Q4 2029	EXPE-AGENT	25%	124.2	113.0	78.9	8.5
Q4 2029	EXPE-QANTAS	60%	26.4	25.6	19.8	3.5
Q4 2029	EXPE-CHANNEL-LOSS	20%	-14.1	-12.3	6.6	-3.8
Q1 2030	EXPE-AGENT	25%	129.6	117.9	82.3	8.9
Q1 2030	EXPE-QANTAS	60%	27.6	26.8	20.6	3.7
Q1 2030	EXPE-CHANNEL-LOSS	20%	-16.3	-14.3	7.6	-4.4
Q2 2030	EXPE-AGENT	25%	135.0	122.9	85.7	9.3
Q2 2030	EXPE-QANTAS	60%	28.8	27.9	21.5	3.8
Q2 2030	EXPE-CHANNEL-LOSS	20%	-20.7	-18.1	9.6	-5.5
Q3 2030	EXPE-AGENT	25%	140.4	127.8	89.2	9.7
Q3 2030	EXPE-QANTAS	60%	30.0	29.1	22.4	4.0
Q3 2030	EXPE-CHANNEL-LOSS	20%	-23.2	-20.3	10.8	-6.2
Q4 2030	EXPE-AGENT	25%	145.8	132.7	92.6	10.0
Q4 2030	EXPE-QANTAS	60%	31.2	30.3	23.3	4.2
Q4 2030	EXPE-CHANNEL-LOSS	20%	-16.4	-14.4	7.7	-4.4

Claim decisions, overlap and triggers

EXPE-AGENT

probability: 0.35

source date: 2026-09-24

hypothesis: Agent distribution expands travel bookings through Expedia execution.

Conditional: 2027 gross referred bookings $0.1/0.25/0.4/0.65bn quarterly; 55% overlaps existing traffic; 12% revenue conversion. 70% B2B / 30% B2C channel mix, 9% service cost, 55.5% weighted channel fee/marketing, 8% technology/support cost.

rationale: Announced coming-soon integration but usage, contractual economics and launch date undisclosed; 35% for commercial scale, not 35% existence.

overlap: Current AEO and core AI conversion already in reference; remove 55% migration before applying probability. Channel-loss case prices adverse economics separately.

trigger: Live launch, referred stayed bookings, net revenue, partner commission and retention disclosures.

outer year probability: 35% through2028,25% from2029: lower continuation confidence, not an extra adverse shock.

EXPE-QANTAS

probability: 0.8

source date: 2026-09-30

hypothesis: Platform upgrade converts incremental bookings after H1 2027 launch.

Conditional: 2027 incremental bookings $0/$25/$60/$90m; 12% net revenue recognition, 3% service, 61% partner commissions, 12% development/support plus $2m quarterly H1 launch costs. No entire-Qantas revenue allocation.

rationale: Named issuer agreement and scheduled rollout warrant 80% implementation/economic scale probability; dollars remain a deliberately small proxy.

overlap: Existing Qantas relationship excluded from incremental booking proxy; Qantas is disjoint from Muse/agent bookings.

trigger: H1 launch, incremental attach/room nights and recognized economics.

outer year probability: 80% through2028,60% from2029: lower continuation confidence, not an extra adverse shock.

EXPE-CHANNEL-LOSS

probability: 0.2

source date: 2026-10-07

hypothesis: Agents weaken direct travel distribution and retain more commission.

Conditional: 2027 exposure 4% of B2C revenue; 6% revenue loss in exposed cohort plus 4% fee increase; only 20% of lost revenue offsets marketing. Exposure rises to 10% by 2030.

rationale: Reasoned adverse case from the annual filing and unspecified commercial terms, not an announced fee change.

overlap: Applies to existing B2C reference; not a second haircut to the incremental-booking branch.

trigger: Direct share drops, paid acquisition costs rise or agent economics worse than assumed.

Remaining bounded uncertainties

- Muse launch date and revenue share not disclosed.

- Qantas incremental contract economics not disclosed; bounded proxy applied at 80%.

- 2027-30 guidance unavailable; outer quarters are scenario extensions, not reported targets.

- CarTrawler purchase economics and detailed integration costs not independently modeled; reference cost growth provides operating allowance, acquisition cash spend can reduce buyback room.

- Segment D&A and minority operating profit not disclosed in a directly comparable form; total D&A included and small attribution reserve used.

Selected original evidence

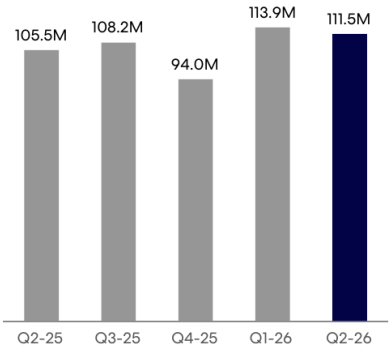
Source exhibit 1

Expedia Q2 2026 earnings presentation, August 5, 2026 | Booked room nights and ADR: observed demand and price are distinct.

RESULTS

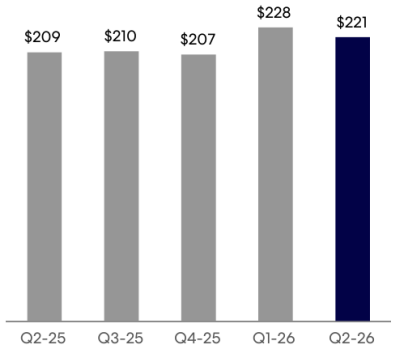
Booked Room Nights and ADR Booked

Booked Room Nights
(in millions)



	Q2-25	Q3-25	Q4-25	Q1-26	Q2-26
Booked Room Nights Y/Y	7%	11%	9%	6%	6%
TTM[1] Y/Y	8%	9%	8%	8%	8%

Average Daily Rate[2]



	Q2-25	Q3-25	Q4-25	Q1-26	Q2-26
ADR[2] Y/Y	(0%)	2%	4%	7%	5%

Booked Room Night growth by region
US: up mid single-digits
EMEA: up low single-digits
Rest of World: up low double-digits

TTM Room Night growth was stable at 8%

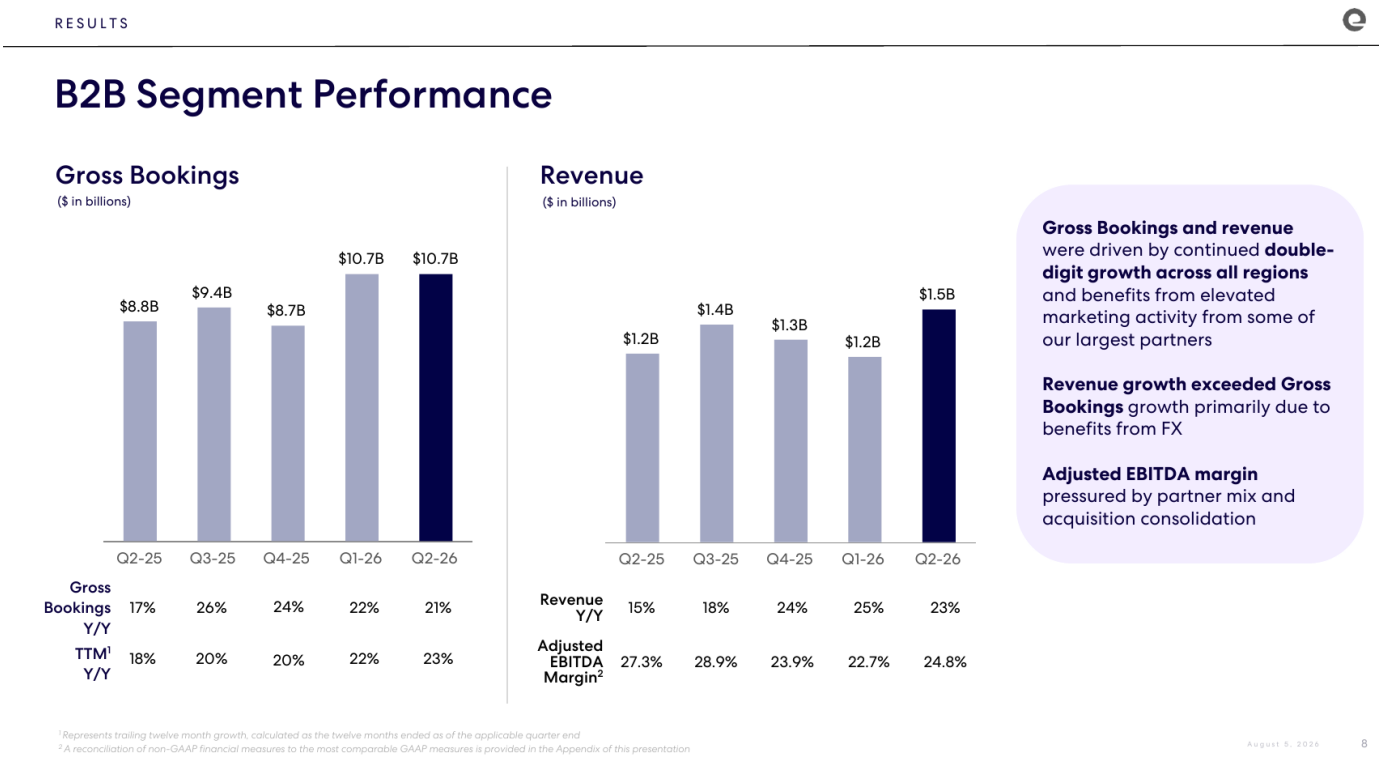
[1] Represents trailing twelve month growth, calculated as the twelve months ended as of the applicable quarter end
[2] Represents the average paid rate per booked room night, calculated as total lodging Gross Bookings divided by Booked Room Nights

August 5, 2026 5

Booked room nights and ADR: observed demand and price are distinct. Original units and footnotes apply.

Source exhibit 2

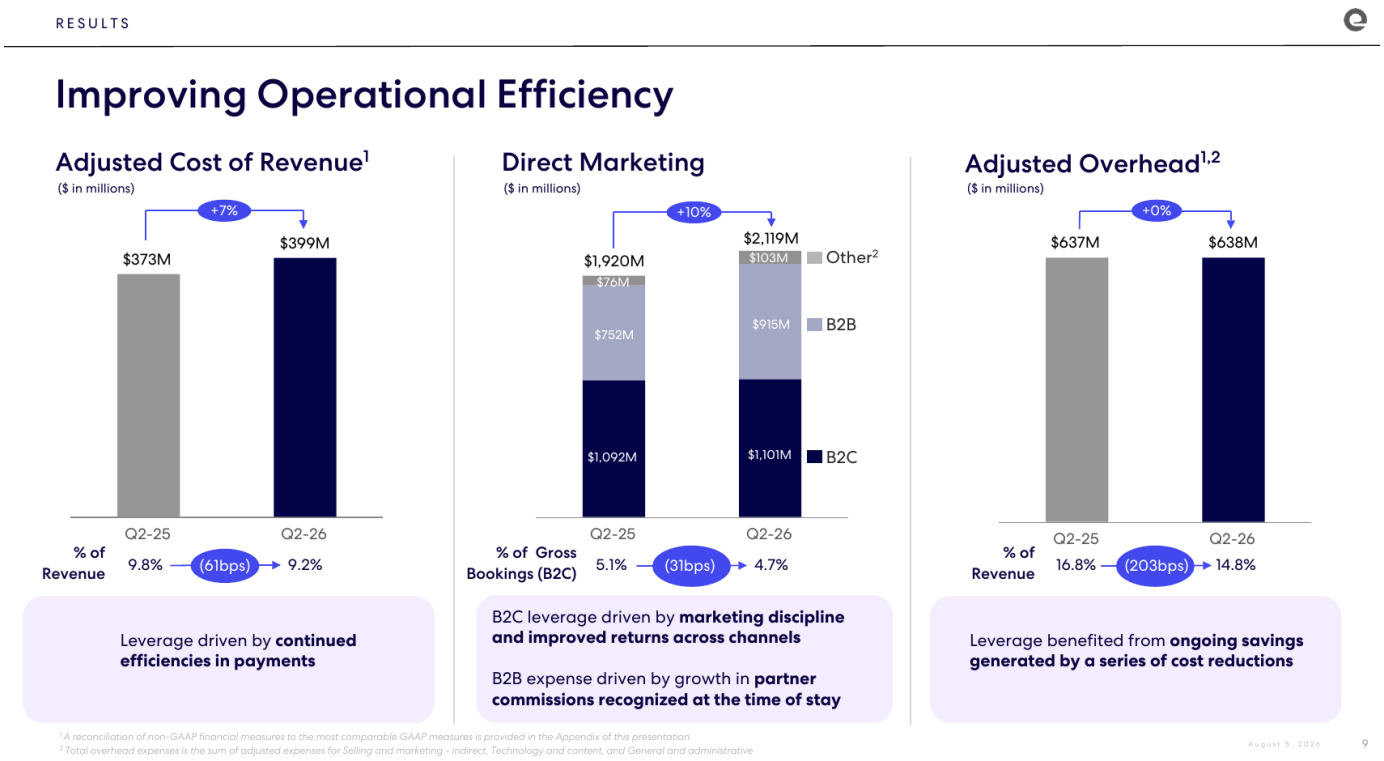
Expedia Q2 2026 earnings presentation, August 5, 2026 | B2B growth: partner commissions and overhead determine retained economics.



B2B growth: partner commissions and overhead determine retained economics. Original units and footnotes apply.

Source exhibit 3

Expedia Q2 2026 earnings presentation, August 5, 2026 | Cost efficiency: existing savings already inform the reference.



Cost efficiency: existing savings already inform the reference. Original units and footnotes apply.

Source exhibit 4

Expedia Q2 2026 earnings presentation, August 5, 2026 | Latest issuer guidance: Q3 and 2026 anchors.

Guidance

Q3 2026

GROSS BOOKINGS	$32.2 - $32.8B	+5 - 7%
REVENUE	$4.65 - $4.75B	+5 - 8%
ADJUSTED EBITDA[1]	$1.51 - $1.56B	

Full Year 2026

GROSS BOOKINGS	$129.5 - $130.8B	+8 - 9%
REVENUE	$16.05 - $16.22B	+9 - 10%
ADJUSTED EBITDA MARGIN EXPANSION[1]	+1.5 - 1.75pts	

[1] A reconciliation for the Adjusted EBITDA and Adjusted EBITDA Margin Expansion forecast is not provided because we cannot, without unreasonable effort, predict certain items, including but not limited to, foreign exchange rate gains or losses and minority investment gains or losses, and are unable to address the probable significance of the unavailable information.
Note: All figures expressed on a year-over-year basis and include FX impact



Latest issuer guidance: Q3 and 2026 anchors. Original units and footnotes apply.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

[1] Primary source

https://s202.q4cdn.com/757635260/files/doc_financials/2026/q2/Q2-2026-Earnings-Release-Final.pdf

Archived source SHA-256: 050de772d7cee54d495c50011426d20afbdda266d805399b1443d4579b5eaf5e

[2] Primary source

https://s202.q4cdn.com/757635260/files/doc_financials/2026/q2/Q2-2026-Earnings-Presentation-Final.pdf

Archived source SHA-256: 4ae47653deecda0b44da4b614b2e2669537714577337790 1c62fef52c47dd6d7

[3] Primary source

https://d18rn0p25nwr6d.cloudfront.net/CIK-0001324424/a6c972e1-565d-43a0-a6ce-e77ad18c3de9.pdf

Archived source SHA-256: 1e17e4146ada0becd2c28c93b389bf4bfc3beebb4210077119e62306e0d676bb

[4] Primary source

https://s202.q4cdn.com/757635260/files/doc_financials/2026/q2/EXPE-USQ_Transcript_2026-08-05.pdf

Archived source SHA-256: 51801a8a7a652c5396dedb331e87e98e29f6641a8408220ee53e71d5b826fc1c

[5] Primary source

https://s202.q4cdn.com/757635260/files/doc_financials/2026/q1/EXPE-USQ_Transcript_2026-05-07.pdf

Archived source SHA-256: efeb85cca5a94c572e0d78935508ba8af81aef81bf989d9ba628cfdcd0c12a24

[6] Meta Connect, September 24, 2026

https://about.fb.com/news/2026/09/the-biggest-news-from-connect-2026/

[7] Qantas partnership, September 30, 2026

https://ir.expediagroup.com/news-and-events/news/news-details/2026/QANTAS-LOYALTY-PARTNERS-WITH-EXPEDIA-GROUP-TO-TRANSFORM-QANTAS-HOTELS--HOLIDAYS-BOOKING-EXPERIENCE/default.aspx

[8] 2025 Form 10-K, Competition and Business

https://www.sec.gov/Archives/edgar/data/1324424/000132442426000008/expe-20251231.htm

[9] Rapid Activities API beta and early-2027 general availability, October 1, 2026

https://ir.expediagroup.com/news-and-events/news/news-details/2026/Expedia-Group-B2B-Announces-Product-Milestones-to-Expand-Its-Full-Trip-Platform--/default.aspx

Model formulas: reference GP sums product revenue x GM; reference OP deducts specified costs. Each conditional revenue/GP/cost delta is multiplied by its probability once. The ceiling uses the sum of four consecutive quarterly valuation operating profits x the stated multiple / diluted shares at the starting quarter. Net cash, debt and minority claims follow the company-specific method explanation.